Learning Space

POST INDEPENDENCE DEVELOPMENTS

PLANNING IN INDIA

MODULE-17

THIRD FIVE YEAR PLAN

REASONS FOR FAILURE

The third plan was a failure in many ways. The causes of the failure include

- The Chinese aggression against India
- The war with Pakistan
- Poor monsoons in 1964-65 and 1965-66
- Lack of co-ordination between central and state governments.

Learning Space

ASSESSMENT

1. AGRICULTURE SECTOR

- There was a fall in agricultural production to 72 MT.
- This also led to rise in prices of food products and consumer articles.

2. POWER SECTOR

The out break of hostilities in 1962 and 1965 and several other factors delayed the implementation of several projects so that "power supply at the end of the plan remained unsatisfactory".

ASSESSMENT

3. TRANSPORT & COMMUNICATION

A substantial investment of Rs. 2,113 crores was made for the expansion and improvement of transport facilities in the country.

- As a result, goods traffic carried by road doubled while that carried by railways increased by 33% during the course of the Third Plan.
- Similarly, passenger traffic carried by rail rose by 23% and that by road by 44%.

Learning Space

ASSESSMENT

4. INDUSTRY

Performance in the field of industry **was not as bad**.

- The first four years of the Plan witnessed about 8-10% annual increase in industrial production.
- In 1965-66, however, external factors caused a severe shortage of many raw-materials and components, the growth slowed down to 5.3%.
- Over the plan period as a whole, industrial production increased by 37.3% as compared with 32% growth registered during the Second Plan.
- Among industries in which Plan targets were fully or nearly realised were aluminium, automobiles, electric transformers, cotton, textile machinery, machine tools, sugar, jute textile, power-driven pumps, diesel engines and petroleum products.

Learning Space

ASSESSMENT

5. SOCIAL SERVICES

1. Educational and Health facilities also under-went considerable expansion.
2. The enrolment in classes I-V increased by 44%; in classes VI-VIII by 57% and in classes IX-XI by 46%. All in all, 61% of the children in the age group 6-14 years were going to school.
3. Efforts were also made to improve text books and teaching methods while the number of stipends and scholarships, especially for the background classes, increased.
4. Medical and Health facilities also improved. Thirty new medical colleges were established and the number of primary health centre increased by 65%.
5. Despite expansion of university education, only 2.3% of the total eligible young men received education at the degree or postgraduate level.

Learning Space

ASSESSMENT

6. UNEMPLOYMENT

- The Plan also failed to create enough jobs to meet the growing demand for employment.
- Against an estimated 25 million un-employed persons in the country, the Third Plan could create only 14 million additional jobs.
- Thus, the number of the unemployed at the end of the plan was greater than at the beginning.

ASSESSMENT

7. FOREIGN TRADE

1. The Third Plan was characterised by a growing trade deficit and mounting debt obligations.
2. While exports grew at an annual average rate of 4.1% but in the event of rising food and other imports, India witnessed an unfavorable balance of payments
3. This led the country to seek larger foreign assistance besides frequent borrowing from the I.M.F.

PLAN HOLIDAY OR ANNUAL PLANS

BACKGROUND

1
- The period between 1966 and 1969 is sometimes called 'plan holiday'.
- Instead of a fully fledged five year plan, three Annual plans were formulated within the draft of the fourth plan.

2
This delay in the fourth plan was also because
- Indo- Pak conflict (1965),
- Two successive years of severe drought
- Devaluation of currency
- High levels of inflation.

OBJECTIVES

The main objective of the Annual plans
- remove strains in the economy arising from the sharp-fall in agricultural production
- curb the inflationary pressure.

OUTLAY

- Agriculture and irrigation- 25%
- Industrial Sector- 23% , to strengthen the industrial base
- Power and transport- 18%

ASSESSMENT OF ANNUAL PLAN

1. During these plans a whole new agricultural strategy was implemented.
   - Wide-spread distribution of high-yielding varieties of seeds
   - Extensive use of fertilizers
   - Exploitation of irrigation potential
   - Soil conservation

2. During the Annual Plans, the economy absorbed the shocks generated during the Third Plan It paved the path for the planned growth ahead and for starting the Fourth Plan.

FOURTH FIVE YEAR PLAN (1969 - 74)

BACKGROUND

- Indo Pak war- supply of raw materials affected
- Influx of Bangladeshi Refugees
- Inflationary pressures
- Poor monsoon in last three years

FOCUS

- Growth in agriculture to enable other sectors to move forward
- Growth with Stability
- Self Reliance.

PLAN OUTLAY

A total outlay of Rs. 24,882 crores was allocated for the Fourth Plan.

OBJECTIVES

1. - Increase the rate of development by reducing fluctuations in agricultural production
   - Impact of uncertainties of foreign aid.
2. To raise the standard of living through programmes designed to promote equality and social justice.
3. Focus on employment and education especially for marginalised sections
4. Efforts to reduce economic inequality

EVENTS DURING FOURTH FYP

The politicization of planning began from this plan with subsidy-induced higher non-plan expenditure.

1. On June 6, 1966 Rupee was devalued. This pushed up the prices of imported articles and manufactured goods.
2. In 1966-67, the country faced a drought affecting production of food.
3. In 1967, India was forced to import 8.7 million tonnes of food grains.
4. Measures were taken for mobilising the resources by way of additional taxation on agricultural incomes and values of urban property.

POST INDEPENDENCE DEVELOPMENTS

EVENTS DURING FOURTH FYP

5 Effective drive for small savings in the rural areas and profitable operations of public undertakings was also implemented.

6 Green revolution advanced agriculture leading to increase in production of food grains.

7 India performed the Smiling Buddha underground nuclear test in 1974.

8 The Plan also saw the

- Nationalisation of 14 major commercial banks
- Reorientation of investment policies of the Life Insurance Corporation.
- Employees Provident Fund.

THE TIMES OF INDIA

14 TOP BANKS ARE NATIONALISED

Ordinance follows unanimous Cabinet decision

'Syndicate' in disarray as Morarji goes

A vital step, says Indira

NATIONALIZATION OF COAL SECTOR

1

- In 1973, Indira Gandhi transferred all coal holdings to public sector company "Coal India Ltd" through the Coal Mines (Nationalisation) Act.
- The objective was to address the growing demand for coal in the power sector.

2

- On the principles of Mahatma Gandhi, the Khadi and Village Industries (KVIC) to strengthen the rural economy by promoting Khadi and Village Industries.
- It helps providing employment to rural artisans especially from the marginalized sections.

3

It thus serves to provide alternative employment opportunities

Coal India Limited

A Maharatna Company

Learning Space

ASSESSMENT OF FOURTH FYP

- Target Growth: 5.7%
- Actual Growth: 3.3%

1. The performance of agriculture was not encouraging. Food grain production was increased by 1.9% per year and cash crop production by 2% per year.
2. Only 29.6% of the target was fulfilled in providing irrigation
3. Performance of industrial sector was also disappointing.
4. The telecommunication, roads, airfields, and health services did not achieve its target.

SHORTCOMINGS

- The concentration of efforts or resources on a few selected areas rather than covering wider areas was the major critique of that plan.
- Instability of the government to provide sufficient quantity of inputs necessary for expansion an institutional infrastructure.
- No specific output targets.
- Poor administration and poor project preparation.

POST INDEPENDENCE DEVELOPMENTS

Learning Space

FIFTH PLAN (1974-78)

BACKGROUND

1
- The Mahalanobis strategy was challenged by the World Bank economists in the early seventies.
- They argued that Third World countries should focus on reduction of poverty

2
So D.P. Dhar prepared the draft of the plan in the backdrop of
- economic crisis
- inflation fuelled by hike in oil prices
- failure of the Government takeover of the wholesale trade in wheat.

FOCUS

- It proposed to achieve two main objectives: 'removal of poverty' (Garibi Hatao) and 'attainment of self reliance'
- Promotion of high rate of growth
- Better distribution of income
- Addressing problem of unemployment
- Significant growth in the domestic rate of savings.

POST INDEPENDENCE DEVELOPMENTS

FIFTH FIVE YEAR PLAN

OBJECTIVES

i. Expansion of productive employment and fuller utilisation of existing skills
ii. A national programme for minimum needs to extend programme of social welfare.
iii. Emphasis on additional production of 125 MT of food with extended agricultural research and education.
iv. Emphasis on basic and key industries producing goods for mass consumption.
v. To promote exports and encourage import substitution(address unemployment).
vi. To adopt institutional, fiscal and other measures to reduces inequalities in the country.

OUTLAY

- A total outlay of Rs. 53,410 crore was proposed for the fifth plan.
- Of this amount Rs. 37,250 crore was the public sector outlay.
- The actual public sector expenditure came to Rs. 39.426 crore.

POST INDEPENDENCE DEVELOPMENTS

EVENTS DURING FIFTH PLAN

STEPS TAKEN

1. Development and diversification of the trade were emphasized.
2. The country was divided into four development regions, four growth centers, four north-south corridors.
3. The Electricity Supply Act 1975 was enacted through which the Central Government entered power generation and transmission
4. Policy for ecological development with livestock development in northern regions was adopted.
5. Horticultural development in the central hills and food grains and cash crops in the southern plains were emphasized
6. As a part of the minimum needs program, elementary education, safe drinking water, health care and housing were looked into. Irrigation schemes like Command Area Development program was launched

FIFTH FIVE YEAR PLAN

SHORTCOMINGS

- In the domain of Agriculture, there was disharmony between agricultural research and extension.
- Limited irrigation facilities in the event of poor monsoons and non- availibility of agriculture inputs furthered hampered production.
- In the domain of Industry, shortage of manpower, unavailability of construction materials and other input affect progress.

ASSESSMENT

- Target Growth: 4.4%
- Actual Growth: 4.8%

1 Due to high inflation, cost calculations for the Plan proved to be completely wrong and the original public sector outlay had to be revised upwards.

2 After promulgation of emergency in 1975, the emphasis shifted to the implementation of Prime Ministers 20 Point Programme(basic amenities) and Minimum Needs Programme(focus on rural economy).

3
- Agriculture production grew at 4.58 percent.
- The production of food grains and irrigation facilities increased.
- Agricultural Cooperative Societies advanced credit for land development.

Learning Space

ASSESSMENT

4 To ensure food sufficiency, Cold storage facilities was made available.

5 Industrial sector grew at 6.2 percent. There was an increase in the production of coal, crude oil and iron ore.

6 On the social side, enrolment in elementary schools grew.

The plan was terminated in 1978, its fourth year, due to political upheavals and change in the Government at the Centre.

POST INDEPENDENCE DEVELOPMENTS

ROLLING PLAN (1978 - 80)

- The draft of the sixth five-year was presented in 1978. However, the plan was terminated with the change of government in January, 1980.
- The new sixth five year plan was affected in April 1980.

1 Janata Govt. put forward a plan for 1978-1983 emphasising on employment, in contrast to Nehru Model which the Govt. criticised for concentration of power, widening inequality & for mounting poverty .

2 The plan stated, "The basic task of economic planning in India is to bring about a structural transformation of the economy so as to achieve a high and sustained rate of growth, a progressive improvement in the standard of living of the masses leading to the eradication of poverty and unemployment and provide the material base for a self-reliant socialist economy".


INDIAN EXPRESS

PLAZA

PM forms Cabinet panel on exports

Curbs on dividend to continue

India keen to improve ties with US: Chavan

PM says no designs on neighbours

India backs Govt of Souvanna Phouma

Bahuguna will not be replaced, told to win over dissidents

H.D. Pande to get extension

Learning Space

ROLLING PLAN (1978 - 80)

OUTLAY

The proposed outlay for the plan totalled Rs. 1, 58,710 crore, of which Rs. 97,500 crore was for the public sector. The actual public sector expenditure came to be Rs. 1, 10,967 crore.

OBJECTIVES

- To eliminate unemployment and underemployment.
- To raise the standard of living of the poorest of masses.
- To reduce disparities in income and wealth.
- To provide basic needs of life such as drinking water, health care, roads in rural areas and minimum services for those living in urban area.
- To achieve self-reliance.

Learning Space

ROLLING PLAN (1978 - 80)

ASSESSMENT

1. The plan was able to achieve most of its targets.
2. The average annual growth rate was around 5%. Food production increased to 151.5 MT.
3. The growth in individual sectors was also satisfactory. Some of the segments of the economy achieved self-reliance.
4. The plan paid special attention to the removal of poverty. According to the Planning Commission, at the end of the plan 37% of population was below poverty line.

However, the government lasted for only 2 years. Congress Govt. returned to power in 1980 and launched a different plan aimed at directly attacking on the problem of poverty by creating conditions of an expanding economy.

Learning Space

SIXTH PLAN (1980 - 85)

FOCUS

- The focus was to improve Quality of Life.
- Investment in Social Services like Health and Family Planning, Education, Planning, Housing and Development
- Rural development through infrastructure development .
- Environmental upgradation

OBJECTIVES

- Higher economic growth and raise national income
- Increase exports
- Poverty Alleviation
- Create employment opportunities
- Develop the energy sector
- Modernization of Technology
- Promote ecological sustainability

POST INDEPENDENCE DEVELOPMENTS

EVENTS DURING PLAN

OUTLAY

The Sixth FYP had a financial outlay of Rs 495 billion, more than double of Fifth FYP.

1. Improve efficiency in Agriculture and expand exports of rice, cotton, fruits etc.
2. Allocation of special funds for the tribal regions of the country.
3. Special attention given to rural development schemes like Integrated Rural Development Program (IRDP), National Rural Employment Program (NREP), and Rural Landless Employment Guarantee Program (RLEGP).
4. In 1979, Training of Rural Youth of Self-Employment (TRYSEM) was started to provide employment opportunities.

POST INDEPENDENCE DEVELOPMENTS

ASSESSMENT OF SIXTH PLAN

- Target Growth: 5.2%
- Actual Growth: 5.66%

1. Reduction in poverty from 47 percent to 30 percent during the plan period.
2. But foreign remittances reduced during the plan.
3. Substantial investment was made in the domain of Education, Rural health and nutrition levels and infrastructure development in the rural areas.

SEVENTH PLAN (1985 - 90)

OBJECTIVES

The main objectives of the 7th five year plans were to establish growth in the areas of

- ✓ Increasing economic productivity
- ✓ Increase production of food grains and achieve self sufficiency.
- ✓ Generating employment opportunities and removal of poverty
- ✓ Decentralisation of Planning and full public participation in development

FOCUS

The thrust areas of the 7^{th} Five year plan have been enlisted below:

- Social Justice
- Reduce infrastructure bottlenecks
- Using modern technology
- Promotional of Non-conventional sources of energy
- Full supply of food, clothing, and shelter.

EVENTS DURING PLAN

OUTLAY

- A Plan outlay of 3,22,366 crores was allocated for the Seventh Plan.
- Energy sector was given the highest priority.

1. Emergence of informatics, telematics, and integrating telecommunications with computers.
2. Implementation of Land reforms, irrigation facilities.
3. Land use management to facilitate multiple-cropping.
4. Increasing supplementary modes of transport such as inland waterways, product pipelines.
5. Anti-poverty programs emphasized upon vulnerable classes - Women, Children Schedule tribes and Schedule castes.
6. Improved facilities for education to girls, family welfare, healthcare, reduction in infant mortality.
7. Jawahar Rozgar Yojna was introduced to reduce unemployment.

ASSESSMENT OF SEVENTH PLAN

- Target Growth: 5.0%
- Actual Growth: 6.0%

1 The plan was very successful as the economy recorded 6% growth rate against the targeted 5% with the decade of 80's struggling out of the' Hindu Rate of Growth'.

2 The anti-poverty programs and economic growth helped in poverty reduction.

3 Employment rate grew as opportunities increases in the non-agricultural sector.

3 However agricultural production was not satisfactory and agriculture production was not sufficient.

Learning Space

ANNUAL PLANS (1990-92)

1 The changing political situation in the country deferred a five year plan leading to two annual plans from 1990-1 and 1991-92

BACKGROUND

- High rate of Inflation
- Balance of payment crisis

21 percent of the total outlay was spent on agriculture and allied activities
In the second year. However, there was fall in production in coarse grains, pulses, groundnut and cotton.

POST INDEPENDENCE DEVELOPMENTS

NEW ECONOMIC POLICIES

1 A major crisis took place which prompted the Indian state to fully liberalize its economy.

2 Growing external debt of the economy- India had taken financial aid from multilateral institutions like World Bank. And by 1991, this debt had crossed $70 billion.

3
- Balance of Payment crisis
- Non development programs and policies- Inflation.
- Debt trap for government
- Corruption + inefficiency in public sector
- absence of competitions-stagnation
- Gulf crisis- rise in prices of oil. Remittances decreased because of war in Gulf countries
- World Bank + IMF pressure

In 1991, PM VP Singh appointed Dr. Manmohan Singh as the Finance Minister and gave him the freedom to undergo economic reforms.

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by

Learning Space

Visit us at:
www.learningspacedigital.com
0866 244 44 72
98499 42299
94415 27588

For Suggestions:
suggestions@learningspace.in

To Contact us:
info@learningspace.in

For Information:
info.learningspacedigital@gmail.com